Arora Hills Homeowners Association, Inc.

Articles of Incorporation

July 2003

ARTICLES OF INCORPORATION

OF

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ARORA HILLS HOMEOWNERS' ASSOCIATION, INC.

In compliance with the requirements of Corporations and Associations, Title 2, Annotated Code of Maryland (1999), and any amendments thereto, the undersigned, JOSEPH D. FORTINO, a resident of Maryland, whose post office address is 8965 Guilford Road, Suite 290, Columbia, Maryland 21046, being at least eighteen (18) years of age, has this day, by execution of these Articles, voluntarily declared himself to be an incorporator with the intention of forming a non-stock corporation not for profit under and by virtue of the General Laws of the State of Maryland, and for such purpose does hereby certify:

ARTICLE I

The name of the corporation (hereinafter referred to as the "Association") is:

ARORA HILLS HOMEOWNERS' ASSOCIATION, INC.

ARTICLE II

The post office address of the initial, principal office of the Association in this State is c/o Beazer Homes Corp, 8965 Guilford Road, Suite 290, Columbia, Howard County, Maryland 21046.

ARTICLE III

The name and post office address of the Resident Agent of the Association in this State is Russell D. Karpook, 20 S. Charles Street, Ste. 400, Baltimore, Maryland 21201-3217. Said Resident Agent is an individual citizen of Maryland actually residing in the State of Maryland.

ARTICLE IV

The terms "Association", "HOA Area", "Lots", "Owner", "Member" and "Property" as used in these Articles of Incorporation shall have the meanings set forth in the Declaration of Covenants, Conditions, Restrictions and Easements relating to the Arora Hills Homeowners' Association, Inc. dated of even date herewith and recorded or intended to be recorded among the Land Records of Montgomery County, Maryland (the "Declaration").

ARTICLE V

The Association shall not operate for pecuniary gain or profit, shall not issue capital stock and no part of the net earnings of the Association shall inure to the benefit of any member or individual (except that reasonable compensation may be paid for services rendered). The specific purposes for which the Association is formed are to provide for: (I) the establishment of rules and regulations for the use, improvement, maintenance, operation and repair of the HOA Areas, and Lots, including any improvements and amenities located thereon; (ii) the promotion of the health, safety, pleasure, recreation and welfare of the residents within the Property and any additions thereto as may hereafter be brought within the jurisdiction of this Association; and (iii) the distribution among the Owners of the Property of the costs of the use, improvements, maintenance, and repairs of the HOA Areas including any improvements and amenities located therein. In furtherance of these purposes, the Association (by action of its Directors unless otherwise noted in these Articles of Incorporation or in the Declaration) shall have full power to:

(a) Exercise all of the powers and privileges and to perform all of the duties and obligations of the Association as set forth in the Declaration as the same may be amended from time to time as therein provided, said Declaration being incorporated herein as if set forth herein;

(b) Fix, levy, collect and enforce payment by any lawful means, all charges or assessments pursuant to the terms of the Declaration; to pay all expenses or assessments pursuant to the terms of the Declaration; to pay all expenses in connection therewith and all office and other expenses incident to the conduct of the business of the Association, including all licenses, taxes or governmental charges levied or imposed against the property of the Association and all other expenses incident to the conduct of the business of the Association;

(c) Acquire (by gift, purchase or otherwise), own, hold, improve, build upon, operate, maintain, convey, sell, lease, transfer, dedicate for public use, or otherwise dispose of real or personal property in connection with the affairs of the Association, subject, however, to the requirements of the Declaration ;

(d) Borrow money, and with the assent of two-thirds (2/3) of the votes of each class of members of the Association, mortgage, pledge, deed in trust, or hypothecate any or all of its real or personal property as security for money borrowed or debts incurred;

(e) Dedicate, sell or transfer all or any part of the Association property to any public agency, authority, or utility for such purposes and subject to such conditions as may be agreed to by the members subject to the requirements of the Declaration;

(f) Participate in mergers and consolidations with other non-profit corporations organized for the same purposes or annex additional residential property and common property provided that, except as otherwise provided in the Declaration, any such merger, consolidation or annexation shall have the assent of two-thirds (2/3) of each class of members;

(g) Grant such easements upon, over, under, and across the Association property for sewer, water, storm water drainage, gas, electric and telephone lines and for such other public utilities as are proper and convenient for the use and enjoyment of the buildings erected and to be erected in the subdivision of the Property, which subdivision is known or is to be known as "Arora Hills" and/or "Greenway Village";

(h) Grant easements and/or licenses for ingress and egress over the Association property for trash collection, snow removal, police protection and such other purposes as are proper for the use and benefit of the owners of houses erected and to be erected on the aforedescribed Property.

(I) Have and to exercise any and all powers, rights, and privileges which a non-stock and/or non-profit corporation organized under the Corporation Laws of the State of Maryland by law may now or hereafter have or exercise;

ARTICLE VI

Every person or entity who is a record Owner of the fee simple title in any Lot which is subject by covenants of record to assessment by the Association, or, if such Lot is subject to a reversion reserved in a lease redeemable pursuant to Title 8 of the Real Property Article, Annotated Code of Maryland, the owner of the leasehold interest, including contract sellers, shall be a member of the Association. The foregoing is not intended to include persons or entities who hold an interest merely as security for the performance of an obligation. Membership shall be appurtenant to and may not be separated from ownership of any Lot which is subject to assessment by the Association.

ARTICLE VII

The Association shall have two classes of voting membership.

Class A. With the exception of the Declarant, Beazer Homes Corp ("Beazer") and Artery Development Company, LLC ("Artery"), every Person, group of persons, corporation, partnership, trust or other legal entity, or any combination thereof, who is an Owner of any Lot which is part of the Property or which otherwise becomes subject to the covenants set forth in this Declaration and/or to Assessment by the Association, shall be

a Class A Member of the Association; provided, however, that any such person, group of persons, corporation, partnership, trust or other legal entity or any combination thereof, who holds such interest solely as security for the performance of an obligation shall not be a Class A Member solely on account of such interest. When more than one (1) person holds an interest in any Lot, all such persons shall be Members. The vote for such Lot shall be exercised as they among themselves determine, but in no event shall more than one (1) vote be cast with respect to any Lot.

Any Owner who leases his Lot may, in the lease or other written instrument, assign the voting right appurtenant to that Lot to the Lessee, provided that a copy of such instrument is furnished to the Association.

Class B. Class B Member(s) shall be the Declarant, Beazer and Artery and shall be entitled to three (3) votes for each Lot owned by: Declarant, its successors or assigns; and/or Beazer, its successors or assigns; and/or Artery, its successors or assigns. The Class B Membership shall cease and be converted to Class A Membership on the first to occur of the following events:

(a) Within one hundred twenty (120) days following, the date on which the total votes outstanding in the Class A Membership equals or exceeds the total votes outstanding in the Class B Membership; provided, however, the Class B Membership shall be revived (and the Declarant and/or Beazer, and/or Artery shall again be entitled to three votes for each Lot owned by the Declarant and/or Beazer, and/or Artery) during any periods of time occurring before the fifteenth (15th) anniversary of the date of the Declaration, when by reason of the annexation of Additional Property as a part of the Property additional Lots owned by the Declarant and/or Beazer, and/or Artery exist which, when added to the other Lots then owned by the Declarant and/or Beazer, and/or Artery, would result in the Declarant and/or Beazer, and/or Artery having more than 50% of the votes of the Association were the Declarant and/or Beazer, and/or Artery to have three votes for each Lot owned by the Declarant and/or Beazer, and/or Artery instead of only a single vote for each Lot owned by the Declarant and/or Beazer, and/or Artery); or,

(b) On the fifteenth (15th) anniversary date of the Declaration; provided, however, that if the Declarant and/or Beazer, and/or Artery is delayed in the improvement and development of the Property on account of a sewer, water, or building permit moratorium or by any other cause or event beyond the Declarant's and/or Beazer's, and/or Artery's control, then the aforesaid fifteen (15) year period shall be extended by a period of time equal to the length of the delays or three (3) years, whichever is less.

(c) Upon the lapse or surrender of Class B memberships, as provided for in this Article, Declarant and/or Beazer, and/or Artery shall become Class A members of the

Association, as applicable, as to each and every Lot in which said Class B members then hold the interest otherwise required for such membership.

ARTICLE VIII

(a) The affairs of this Association shall be managed by a Board of no less than three (3) nor more than seven (7) Directors, which number may be changed pursuant to the By-Laws, but shall never be less than three (3). The names and post office addresses of the initial Directors who shall act as such until the first annual meeting, or until such time as their successors are duly chosen and qualified are: Joseph D. Fortino, 8965 Guilford Road, Suite 290, Columbia, Maryland 21046; Daniel X. Gregory, 8965 Guilford Road, Suite 290, Columbia, Maryland 21046; and Bernard J. Rafferty, 7200 Wisconsin Avenue, Suite 1000, Bethesda, Maryland 20814.

(b) These Directors, (hereinafter called "Charter Directors") shall serve until the first annual meeting of the Members at which their successors are elected. In the event of death or resignation of a Charter Director during his/her term of office, the remaining Charter Directors shall elect a successor Charter Director to fill the unexpired term of said Charter Director. At the first annual meeting, the Members shall elect one (1) Director for a term of one (1) year, one (1) Director for a term of two (2) years, and one (1) Director for a term of three (3) years. As the initial term of each Director expires, the Members shall elect one (1) successor Director for a term of three (3) years.

(c) The Directors shall exercise their powers and duties in good faith and with a view to the best interests of the Association. No contract or other transaction between the Association and one or more of its Directors, or between the Association and any other corporation, firm or association in which one or more of the Directors of this Association are directors and officers or are pecuniarily or otherwise interested, is either void or voidable because such Director or Directors are present at the meeting of the Board or any committee thereof which authorizes or approves the contract or transaction, or because the votes of such Director or Directors are counted for such purpose, if any of the conditions specified in any of the following paragraphs exist:

(1) the fact that the common directorate or interest is disclosed or known to the Board of Directors or a majority thereof or noted in the Minutes, and the Board authorizes, approves, or ratifies such contract or transaction in good faith or by a vote sufficient for the purpose; or

(2) the fact of the common directorate or interest is disclosed or known to the Members, or a majority thereof, and they approve or ratify the contract or transaction in good faith by a vote sufficient for the purpose; or

(3) the contract or transaction is commercially reasonable to the Association at the time it is authorized, ratified, approved or executed.

(d) Common or interested Directors may be counted in determining the presence of a quorum of any meeting of the Board or committee thereof which authorizes, approves or ratifies any contract or transaction, and may vote thereat to authorize any contract or transaction with like force and effect as if such common or interested Director or Officer were not such Director or Officer of such other corporation, or not so interested.

ARTICLE IX

The initial Board of Directors of the Association will have the right to establish By-Laws for the governing of the affairs of the Association. Said By-Laws shall provide for an annual meeting of the Members of the Association and shall accordingly affix a time for such meetings. Said By-Laws unless otherwise provided for in the Declaration, may be amended by the vote of two-thirds (2/3) of each class of Members cast in person or by proxy at any membership meeting of the Association duly called for the purpose.

ARTICLE X

The Association may be dissolved with the assent given in writing and signed by not less than two-thirds (2/3) of each class of Members. Upon dissolution of the Association, other than incident to a merger or consolidation, the assets of the Association shall be dedicated to an appropriate public agency to be used for purposes similar to those for which this Association was created. In the event that such dedication is not accepted, such assets shall be granted, conveyed, and assigned to any non-profit corporation, association, trust or other organization to be devoted to such similar purposes.

ARTICLE XI

The Association shall exist perpetually.

ARTICLE XII

The liability and indemnification of Officers and Directors shall be as set forth in the By-Laws for the Association.

ARTICLE XIII

Amendment of these Articles shall require the assent of the holders of two-thirds (2/3) of the votes of each class of Members present in person or by proxy at the meeting

at which the vote is taken. Anything set forth above in this Article XIII to the contrary notwithstanding, the Declarant shall have the absolute unilateral right, power, and authority to modify, revise, amend, or change any of the terms or provisions of these Articles of Incorporation all as from time to time amended or supplemented. However, this unilateral right, power, and authority of the Declarant may be exercised if and only if the Veterans Administration (VA), the Federal Housing Administration (FHA), the Federal Home Loan Mortgage Corporation (Freddie Mac), the Federal National Mortgage Association (Fannie Mae), or the Government National Mortgage Association (Ginnie Mae) or any successor agencies or entities thereto or any agencies or entities providing similar programs shall require such action as a condition precedent to the approval by such agency or entity of the Property or any part thereof or any Lots thereon for approved mortgage financing purposes under applicable VA, FHA, Freddie Mac, Fannie Mae, Ginnie Mae, or similar programs. If the VA or the FHA or any successor agencies thereto approve the Property or any part thereof or any Lot therein for federally approved mortgage financing purposes, any amendments to these Articles made during any period of time when there are Class B Members of the Association shall also require the prior consent of the agency giving such approval.

IN WITNESS WHEREOF, for the purpose of forming this Association, under the laws of the State of Maryland, the undersigned has executed these Articles of Incorporation and has acknowledged same to be his act this 21st day of July, 2003.

WITNESS:

JOSEPH D. FORTINO

STATE OF MARYLAND, COUNTY OF Howard:

I HEREBY CERTIFY That on this 21 day of July, 2003, before me, a Notary Public in and for the State and County aforesaid, personally appeared Joseph D. Fortino, known to me (or satisfactorily proven) to be the person whose name is subscribed to the within Instrument, who acknowledged that he executed the same for the purposes therein contained.

WITNESS my hand and Notarial Seal.

Notary Public

My Commission Expires: LAURENE A. McISAAC
NOTARY PUBLIC STATE OF MARYLAND
My Commission Expires May 1, 2007

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STATE OF MARYLAND
DEPT OF ASSESSMENTS AND TAXATION
CUST ID:0001175692
WORK ORDER:0000070597
DATE:07-30-2003 07:47 PM
AMT. PAID:$120.00